

MGT 421: The Board of Directors, the CEO, & Corporate Governance

Section 265901 EMBA Hybrid
Summer Quarter 2026
Otterson Hall, Room 1E106
In Person – Sundays, 7/19, 8/16, 9/13
8:00 am – 12:00 pm.

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COURSE DESCRIPTION

The Board of Directors, the CEO and Corporate Governance is designed as a 30-hour course to introduce students to the legal, political, and practical relationships that govern how businesses operate at the highest level of management. Upon completing the course, students will have an understanding of the myriad relationships, agendas, and conflicts that come into play in managing, overseeing, or investing in a significant business enterprise as well as the ability to consider the appropriateness of the corporate governance structure within public or private business entities. The course will include discussions of the evolution of the modern corporation and corporate governance; the structure, duties and responsibilities of boards of directors in primarily U.S. publicly-traded companies; the key areas of conflict between boards of directors, Chief Executive Officers, and shareholders as each pursues its individual mission; and, exercises in researching the sources to obtain information and evaluations on an individual company's corporate governance practices as well as determining the "best practices" in corporate governance.

All class reading materials, lecture slides, and written assignments will be available in Canvas. All written assignments are to be submitted through Canvas.

This class is a hybrid class, consisting of three in-person classes of four hours each (July 19, August 16, and September 13). During each week between in-person classes, video lectures and other materials have been assigned to promote engagement and continuous learning. Because our in-person classes are quite long – from 8:00 am to noon - we will try to take short breaks every 90 minutes or so.

A couple of suggestions for participation in the in-person classes. It will quickly get very boring if I am the only person speaking, so I encourage you to ask questions, share experiences, and bring up current developments involving CEOs, boards, and shareholders. Read the newspapers or check online between classes to see what is going on in the CEO/corporate world. No limits on topics you might want to raise (but steer clear of politics, religion, and personal relationships). It seems that almost every week a CEO is terminated, quits, or gets into trouble and this provides a great discussion point. I am counting on your help to make the class enjoyable and valuable.

Engagement between in-person sessions is very important and will be taken into consideration for grading purposes. "Participation" means beginning or adding meaningful content to a Canvas discussion thread on an issue relevant to the class, such as an article seen in the media or a question directed to the instructor. Each week a topic based on current events will be posted on the discussions Tab. Threads are reviewed on a weekly basis (ending on Sunday) and individual participation is noted. Up to 3 points

per week (30 points overall) can be earned by actively participating in these threads/classroom discussions.

SCHEDULE

Date	Due	Class Topic & Activities	Assignments
Week Ending July 5, 2026 Module 0	VIDEOS: - Welcome – Course Introduction (#1) - Instructor Introduction (#2) DISCUSSION THREAD – Introductions	Introductions Why this class?	Watch Videos #1 & #2 Engage
Week Ending July 12, 2026 Module 1	VIDEO: Corporations A & B (#3) READINGS: <u>Monks & Minow – Chapter 1 – The Corporation</u> Dumaine, Brian, “Can a Billionaire Hedge Fund Manager Fix Income Inequality”, Fortune, August 20, 2015, (Reader); (also http://fortune.com/2015/08/20/paul-tudor-jones-income-inequality/) <u>Larry Fink’s letter to CEO’s, January 16, 2018, at https://www.blackrock.com/corporate/investor-relations/larry-fink-ceo-letter</u> <u>Business Roundtable Redefines the Purpose of a Corporation to Promote ‘An Economy That Serves All Americans’, August 19, 2019 https://www.businessroundtable.org/business-roundtable-redefines-the-purpose-of-a-corporation-to-promote-an-economy-that-serves-all-americans</u>	Evolution of the modern corporation and the environment in which they operate	Watch Video #3 A & B Assign teams and begin Team Project of Proxy Analysis and Evaluation <u>Written Assignment #1</u> - four written questions to be submitted prior to class (Questions are posted on Canvas)
Sunday July 19, 2026 Module 2	IN PERSON CLASS 8:00 AM TO 12:00 PM PDT VIDEO: - The Role of the Board - Board Duties - ESG - Independence - Team Project – The directors READINGS: <u>Monks & Minow – Chapter 3 – Boards of Directors</u> NYSE Corporate Governance Listing Standards (Reader) “Proxy Statement of Fresh Del Monte Produce Inc. 2024”	Introductions Current developments and best practices in governance How Boards of Directors work – their legal obligations, structures, and operating responsibilities (#5 & 6) Independence (#7)	<u>Watch all five videos</u> <u>Team PPT Presentation</u> on their company’s board of directors and director compensation

	https://d18rn0p25nwr6d.cloudfront.net/CIK-0001047340/00f7dbe7-b554-4fe3-82a3-9d3c9a6a5291.pdf	The ESG movement in governance (#4)	
Week Ending July 26, 2026 Module 3	VIDEOS: - Board Operations (#8) - Committees (#11) READINGS: Corporate Governance Guidelines of Hewlett Packard at https://s203.q4cdn.com/918857832/files/doc_downloads/GovDocs/hp-corporate-governance-guidelines-june-2023.pdf Compensation Committee Charter – Tesla Inc. at https://digitalassets.tesla.com/tesla-contents/image/upload/IR-Compensation-Committee-Charter Governance Committee Charter – Starbucks Inc. at https://content-prod-live.cert.starbucks.com/binary/v2/asset/137-81043.pdf Audit and Finance Committee Charter – Apple Inc., at https://s2.q4cdn.com/470004039/files/doc_downloads/2023/08/auditandfinancecommitteecharter.pdf	Discuss in detail the workings of a Board in meeting its duties and obligations under the law and the expectations of third parties. Corporate Governance Guidelines Current Developments in governance The board's role in culture	Watch Videos #8 & #11 Written Assignment #2: 3-5 written questions to be submitted prior to class (Questions will be posted on Canvas)
Week Ending August 2, 2026 Module 4	VIDEOS: - Board Structure & Meetings (#9 A & B) - The Board's Role in Strategy & Risk (#10 A & B) READINGS: "Risk Oversight and the Board: Navigating the Evolving Terrain", PWC, August 2022 (Reader) "The Board's Role in Strategy", Roger Martin, Harvard Business Review, December 28, 2018; https://hbr.org/2018/12/the-boards-role-in-strategy "The Board's Role in Strategy Oversight", Tapestry Networks, August 5, 2012 (Reader)	Continue the discussion of board operations Discussion of the role of the board and management in strategy development and risk management	Watch Videos #9 & #10
Week Ending August 9, 2026 Module 5	VIDEOS: CEO Pay (#12) READINGS: Monks & Minow – Chapter 4 – Management & Performance	Understanding CEO Pay	Watch video #12 Read the CDA Report in your company's proxy

	Carefully read the Compensation Discussion and Analysis from your Team Project Company's proxy and be prepared to ask questions or discuss items in preparation for next week's PPT Presentation on CEO compensation		
Sunday August 16, 2026 Module 6	IN PERSON CLASS 8:00 AM TO 12:00 PM PDT VIDEOS: - The CEO (parts 1 & 2) - Board/CEO Conflict - Team Project: CEO Pay READINGS: Lafley, A.G., "What Only the CEO Can Do," <i>Harvard Business Review</i>, Reprint No. R0905D, May 2009 (Reader) "How Hewlett-Packard Lost Its Way", James Bandler & Doris Burke, (Reader) Jeff Bezos' letter to shareholders, April 19, 2018 at https://www.sec.gov/Archives/edgar/data/1018724/000119312518121161/d456916dex991.htm. (Reader) Lublin, Joan S. & Mattioli, Dana, "Penney CEO Out, Old Boss Back In", <i>The Wall Street Journal</i>, April 8, 2013 (Reader) "Executive Compensation at the NYSE", D. Jeanne Patterson, Ph.D., (Monks & Minow online cases) http://higheredbcs.wiley.com/legacy/college/monks/0470972599/supp/casestudies.pdf Pages 197 - 203 "Disney Examined: A Case Study in Corporate Governance and CEO Succession", Lawrence Lederman, NYU Law School Review, Vol 52; 2007/2008; https://digitalcommons.nyls.edu/cgi/viewcontent.cgi?article=1473&context=nyls_law_review	Discuss the expectations and restrictions placed upon a CEO by the multiple parties with whom they must work (#13 & 14) Discuss the role of the CEO and interaction with the Board and shareholders. Why do CEO's get fired? Who hires these people? Discuss CEO compensation and analyze proxy disclosures	Watch all 4 videos <u>Team PPT presentations</u> on CEO Pay
Week Ending August 23, 2026 Module 7	Failure teaches us much. Watch a total of three episodes of one or more of the below shows (each approximately 1 hour or less) about failed CEO's. The Dropout (Elizabeth Holmes/Theranos) – Hulu We Crashed (Adam Newmann/WeWork) – Apple TV Super Pumped (Travis Kalanick/Uber – Showtime) Be prepared to discuss your observations on what made them successful and then self-destruct. What lessons are here for all would be CEOs?	Consider CEO failure	<u>Written assignment #3:</u> 3-5 written questions to be submitted prior to class (Questions are posted on Canvas)

Week Ending August 30, 2026 Module 8	VIDEOS: Shareholders (#15 A & B) READINGS: Begin Monks & Minow – Chapter 2 – Shareholders Amico, Alissa Kole, “Why Ownership Concentration Matters”, <i>Harvard Law School Forum on Corporate Governance</i>, February 24, 2020; https://corpgov.law.harvard.edu/2020/02/24/why-ownership-concentration-matters/ Stout, Lynn A., “The Mythical Benefits of Shareholder Control,” <i>Regulation</i>, Spring 2007, pp.2-7 (Reader) Stout, Lynn A., “The Shareholder Value Myth” (2013). Cornell Law Faculty Publications. Paper 771. (Reader); (also: http://scholarship.law.cornell.edu/facpub/771)	Current developments in governance Discuss types of shareholders, their needs and agendas Discuss the role of activist investors – do they add value or just transfer it?	Watch Video #15 A & B
Week Ending September 6, 2026 Module 9	VIDEOS: Team Project – Proxy Voting Work on your team presentation and the paper advising how to vote on your team's proxy, both of which are due at our next in-person class.	Current developments in governance	Watch the video on your team project <u>Written assignment #4:</u> 3-5 written questions to be submitted prior to class (Questions will be posted on Canvas)
Sunday September 13, 2026 Module 10	IN PERSON CLASS 8:00 AM TO 12:00 PM PDT VIDEO: Start-up and Advisory Boards Discuss establishing advisory boards and boards of directors for start-up companies; venture capital and private equity backed companies Suster, Mark, “When to Set Up a Board of Directors for Your Startup (And What It Should Look Like”, Inc., February 21, 2019; https://www.inc.com/mark-suster/building-startup-board-directors-investors-members.html Zwilling, Martin, “Mistakes to Avoid With a Startup Board of Directors”, Forbes, June 30, 2015; https://www.forbes.com/sites/martinzwilling/2015/06/30/mistakes-to-avoid-with-a-startup-board-of-directors/#3c17549c56fd	Current developments in governance The role of the proxy advisory firms Setting up a board for a start-up company (#16) Course summary and review	Watch the video on start-up boards <u>Team PPT Presentation</u> on voting recommendations for most recent proxy Team paper on proxy voting recommendation

No later than September 20, 2026	Class and instructor evaluations		
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COURSE OBJECTIVES

The objective of the course is to provide students with an understanding of the relationships among shareholders, managers, and boards and how to research and draw their own opinions on an organization's corporate governance structure and practices.

COURSE MATERIALS

Course materials will include a basic text: Corporate Governance (Fifth Edition) by Robert A.G. Monks and Nell Minow; and a Reader comprising short readings from:

- Cases noted in the text can be accessed at:
<http://bcs.wiley.com/he-bcs/Books?action=index&bcsId=6507&itemId=0470972599>
- The New York Stock Exchange Corporate Governance Listing Standards
- Articles on corporate governance topics, including strategy and the role of the CEO
- Cases emphasizing corporate governance issues

In addition, primarily using the Internet, students will be required to research various company specific corporate governance documents as well as current developments in the field as reported in the press and media and selected readings.

Because this is a dynamic subject that is currently undergoing a substantial amount of legislative and regulatory review and change, additional readings may be assigned using freely accessible internet sites in order to capture the most current and relevant thoughts on the subject.

Laptop computers will be used in each class session for online research.

Presentation slides used in class will be posted on Canvas before each class.

COURSE ASSIGNMENTS

Course assignments will include weekly readings and four written assignments of three to five questions on the topics covered. The written assignments will be considered as part of the class grade. Questions to be answered will be posted on Canvas at least one week prior to their due date. Students' written assignments will be submitted using the appropriate class drop box on Canvas prior to the commencement of the class for which they are due.

The course will include a team research and evaluation project and paper to be completed and submitted in the last week of the term. The team project will involve small teams of students who will select a publicly traded company to use as their study subject in evaluating various areas of corporate governance. Criteria for the selection of the company will include minimum market capitalization (\$2 billion), U.S. filing status for at least two years on either the New York Stock Exchange, the American

Stock Exchange, or NASDAQ, and that there be no employment or consulting relationship with any student, member of the student's immediate family, or the instructor. Throughout the course teams will make presentations on various aspects of corporate governance. At the conclusion of the course, each team will submit a presentation to the class as to how a client should vote on each issue in their company's proxy statement along with a written paper providing more detailed analysis of the "whys" for their recommendations. Details on the team project are posted on Canvas.

This class is geared to maximum participation and interaction between students and the instructor. As a result, class participation will have a significant bearing upon the final grade.

GRADING CRITERIA

The course is a knowledge-based course that will focus on students developing an understanding of the environment and multiple parties involved in corporate governance so that students will be capable of developing an independent opinion as to the appropriateness of an organization's governance structure and practices, including the ability to perform independent research on specific companies. The grading criteria will be as follows:

Class participation	30%	
Written assignments	20%	
Team Project	50%	(presentations 30%, paper 20%)

Class participation is very important. This is very much a discussion-based class with many subjective aspects. Showing up is half the grade, participating in class discussions is the other half. Make a contribution at each class by asking a question or making a comment on the subject matter under discussion or the written assignment.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
[UC San Diego Academic Integrity Policy](#).

THE USE OF AI FOR RESEARCH IS ENCOURAGED IN THIS CLASS

The use of AI tools such as ChatGPT, Bing Chat, Bard, Claude, etc. is encouraged in this class. These tools have considerable potential to streamline and augment our work and you should use them for this class with the following caveats and conditions:

1. These tools should augment your work, not replace it. For instance, large language models can improve the quality of your writing, identify new sources, provide high-level summaries of complex ideas or terms, and pressure test your arguments for logical inconsistencies. These tools can help you come up with new ideas, overcome writer's block, or refine your original ideas. You should not use Generative AI tools to generate content that you simply put your name on. This constitutes an academic integrity violation, much like taking another individual's work and misrepresenting it as your own. Note that I run all of the written assignment and final exam questions through AI engines and

am therefore familiar with their responses. I have found that AI generated answers to some discussion questions do not correctly answer the question as asked.

2. If you use Generative AI for an assignment, be transparent about if/how it was used in a footnote or citation (e.g., [link to the ChatGPT chat you created](#)).
3. Large language models have documented issues with hallucination and inaccuracy (e.g., generating fake citations, failing logical arguments, misrepresenting sources, etc.). You are fully responsible for the content you submit in your assignments and will be graded accordingly.

Note: The above policy is largely based on the text provided by Professors Thales Teixeira and Elizabeth Campbell.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member. The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the OSD website at <https://osd.ucsd.edu/> for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.